GMS WEEKLY

Your Source for Recycling News

May 2nd, 2025
Week 18
Volume 272, Issue 1183

Highlights:

- **Shaky few weeks.**
- **Seeking approvals.**
- **DG satisfaction.**
- **Shutdown.**
- **War.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"Live your life as an Exclamation rather than an Explanation."

– Isaac Newton

-- MARKET COMMENTARY --

BUMBLING RIDE!

Despite Trumpian-economics reversing course on nearly all executive trade actions and decisions within a few weeks of world economies collapsing and retaliatory tariffs to recent U.S. trade policies has seen a growing number of countries taking an opposing stance against this regime and has resulted in global trade being severely affected as major ports across American coastlines are slowly turning empty. And as inflation starts to slowly ramp up across the world, America on the other hand is gradually heading for a recession as the American economy shrank through Q1 and nothing has shown this more glaringly than the performance of the U.S. Dollar this week, where even though it has weakened against some recycling nation currencies, it did report depreciations against others.

The Baltic Exchange Dry Index too reported increases this week as trade starts to shift around the world and global economies hash out fresh trade agreements without the United States, causing freight rates to report minor improvements this week even though overall trading activity seems to be far lower. Notwithstanding, the biggest hammer of them all fell on the price of oil where on the back of plummeting energy demands and inconsistent policies and announcements of potential sanctions amidst Russian aggression against Ukraine saw futures plummet by 1.6% down to USD 58.29/barrel. Local steel plate prices also seem to be taking quite a hit as flatlining seems to be theme of the week across most sub-continent ship recycling markets and even China, where steel trade seems to have certainly taken a hit causing steel prices to freeze.

On the various ship recycling fronts, a shaky last few weeks finally settled this week with news that NOCs (No Objection Certificates) on incoming vessels in Bangladesh were finally being granted after a month-long hiatus whilst inspections from various government departments were being conducted to ensure that ongoing HKC yard upgrades reported by recyclers were in fact on track. Aside from the 7 HKC yards now approved in Chattogram, there is a list of about 20 yards waiting to gain HKC accreditation and these yards are reportedly at disproportionate stages of their own upgrades, which drove this market into a state of stasis whilst ongoing inspections and approvals worked themselves out, resulting in minimal sales and deliveries into Bangladesh of late, as a descending lull on activity shifted focus of ship owners / cash buyers on to competing markets in Pakistan and India. However, with political tensions now on the rise between Pakistan and India on the back of a terrorist attack in Kashmir's Pahalgam city that resulted in the unfortunate death of 26 souls and has resulted in an increased military buildup along the border between each country, amidst a dangerous escalation in rhetoric that seems to be heading towards an armed conflict / war.

Overall, as tonnage scarcities & shaky fundamentals result in ship recycling activity being dragged through a bumbling backseat across sub-continent backroads for another week, particularly as global markets struggle to recover (and negotiate) following the sharp shock of the Trump's tariff reforms, is keeping shipping markets propped up depriving recyclers of viable candidates for another week. Prices and demand, however, remain relatively unchanged from last week, other than a heightened sense of caution amongst ship recyclers who are still on the lookout for tonnage.

GMS demo rankings / pricing for week 18 of 2025 are on Page 5.

BANGLADESH

DELAYED…BUT THERE!

NOCs being issued.

After over 5 weeks of delayed visits and inspections by governmental authorities that resulted in virtually no inflow of tonnage into Chattogram across April, a breakthrough late on Sunday was finally announced as permissions were given to developed yards, HKC approvals granted, and NOCs (No Objection Certs) started to be issued once again following a pause of well over one month that left the nation on the verge of an empty port position several times including this week, where no new vessels have been reported other than the lonely beaching of a relatively small LDT unit to an already approved yard.

Vessels stuck.

As government bodies intervened to ensure HKC yard upgrades remain on track ahead of the HKC entry into force on June 26th, a plethora of vessels have been stuck outside Chattogram awaiting their respective NOCs forthcoming from the DG of shipping, meaning LCs could not open from banks and vessels could not enter IPL for boardings and subsequent deliveries. As such, any sales or activity over the past month or so has essentially stalled, with many vessels being reportedly diverted to competing sub-continent markets of late.

Draught.

And if it wasn't approvals on HKC / pending NOCs, it has been local fundamentals that continue to take a beating (as they have been since the highs of October 2024) where local steel plate prices remain dead on arrival at a lowly USD 478.55/Ton, not too far ahead of the current pricing strategy from Chattogram recyclers. Even the Taka reported a minor improvement towards the end of the week as it gained a mere 4 basis points against the U.S. Dollar to end the week at a still high BDT 121.91. Making matters worse has been the lack of incoming tonnage that has seen local steel trade take a hit over recent weeks and hopefully the breadth of tonnage that is currently idling outside Bangladesh will finally receive their respective permissions and alleviate the recent draught.

Busy times?

On the nation's economic front, a joint meeting between the IMF and Bangladeshi government is due to take hold this week and address an ongoing deadlock over the release of upcoming payment installments on IMF loans over the issue of liberalizing the exchange rate, which has seen the Taka collapse far beyond last year's forecasted decline to region BDT 116 and the introduction of a floating point rate, which clearly has failed to accommodate the currently depreciated state of the Taka. Ongoing international remittances from Bangladeshi citizens to family members also increased for the month of April, recording a healthy 34% increase for the nation's treasury, further alleviating any near (or far reaching) investment and financial hurdles that Bangladesh's ship recycling sector might face in the interim – at least until the budget it announced in a few weeks.

As yards gear up for the HKC that is now less than 2 months away, a monsoon that is just 4 weeks away, and a suspected healthy collection of deliveries to local recyclers in upcoming weeks will likely see a busier Chattogram ship recycling sector across May, and possibly June.

NO MARKET SALES REPORTED

INDIA

FAR FROM GREAT!

Ongoing steel volatility over the last month or so has seen India enter May on a weaker overall footing despite many expecting the market to fire up pre-monsoon, especially with Chattogram out of the fray due to ongoing HKC upgrades and stalling government permissions on extensions to complete minimum HKC upgrade requirements, resulting in a slowdown of fixtures into Bangladesh over recent weeks. However, even with Trump's tariff tantrums appearing to settle down and reciprocal trade agreements due to be enforced between the US and India, sentiments in Alang have been far from great of late during this time, especially in the face of ongoing attempts at maintaining bilateral trade relations between the countries, which continues to take centre stage.

Month of May.

Yet, Alang recyclers remain nervous despite taking in the most tonnage as evidenced by India's port report for the week on the back of a healthier (than competing neighbours) collection of sales being concluded over recent times (be it smaller LDT tonnage) and that too at decent levels despite a noticeable lack of favoured or workable tonnage changing hands for recycling at present. In addition to a slacking supply, domestic fundamentals continue to react to the menacing volatility that has been subjected onto international markets as on the one hand, local steel plate prices fell USD 4/Ton early in the week, only to jump USD 8/Ton and the week on an overall positive note. The Rupee however reported the strongest surges of the week firming an entire percentage point against the U.S. Dollar and closed out at a healthy Rs. 84.53 – a much needed boost to recycling sentiments as a firming Rupee makes vessel purchases that much more cost effective.

Unexpectedly poor.

Meanwhile, the focus of the country revolves around the recent terrorist attack in the North as protests against Pakistan rage across the nation and push PM Modi to take an affirmative stance against cross-border terrorism, as he reportedly re-positions a massive arrangement of troops to the frontlines, resulting in an escalation of a words between the leaders of both countries. With most international nations (especially the U.S.) standing back at this juncture, leaving free reign for PM Modi take a decisive posture against the unrelenting decades long terrorist attacks on Indians. Should an armed conflict unfurl, the financial pinch to both nations would be concerning, especially for Pakistan whose treasury reserves are far lower than that of neighbouring India. Moreover, this could result in blockages of movement of tonnage around WC Indian / Pakistani waters and further affect ship recycling and even shipping on the whole.

Financial pinch.

Whatever comes of it, the state of ship recycling will remain suspended in suspense as 2025 brings with it, its own share of political turmoil to the shores of India. With the current state of affairs, perhaps a break from the mundane might be just what the recyclers need. For now, like competing markets, India remains subjected to supply, geography, and a competing Pakistan that still seems like it's got some skin in the game.

Skin in the game.

NO MARKET SALES REPORTED

PAKISTAN

TENSIONS RISING!

International pressures.

Cross border tensions with India have been grabbing most of the headlines in Pakistan of late, and even though a few international bodies are urging calm lest the situation escalates further between the two nuclear nations, the situation at present doesn't seem to bode well for peace. Reciprocal moves banning Indian flagged ships from Pakistan and vice versa have hit shipping sectors and there is no telling how far each country will go in this needless game of one upmanship. And as stated above, Pakistan's precarious financial position may not be able to accommodate an armed conflict with its much larger neighbor, which in itself could cause a maddening shortage of funds to the populous and domestic businesses at large as an escalation could mean authorities curtailing communications within the nation for security reasons, causing the economy to slow overall, just as we have seen during earlier riots and protests when cell services were also suspended.

Tit for tat.

And slow it certainly has been. As vessel prices dip and demand from recyclers curtails over recent weeks, Pakistan spent a second week devoid of any sales and ended the 2nd week with no fresh arrivals to report at local anchorage. Even the Pakistan Rupee lost 4 basis points and closed the week at a diminished PKR 281.11 against the U.S. Dollar, as local steel plate prices that are now flatlining USD 10/Ton lower at USD 614/Ton, leaving the advantage of much wider margins for Gadani recyclers to exploit on their recycling purchases, seemingly eroding as despite depreciating USD 50/Ton in the last 6 weeks, Pakistan plate prices still hold a decent USD 150/Ton margin over competing sub-continent neighbors, yet, ended the week with an empty port position.

Aiming for aid.

The economy more than likely take a hit as India bans all imports from Pakistan and as the fallout from the terrorist attack continues, India is now approaching the IMF, ADB, and other financial agencies asking them to reassess all current and future loan applications from Pakistan, furthering the rift between the nations as it considers presenting an opposition to IMF's planned USD 1.3 Billion aid package intended for review on May 9th, thereby compelling these governmental agencies to pressurize Pakistan into ceasing its activities.

What becomes of this terrorist tragedy remains to be seen. For now, Pakistani ship recycling activity has remained sidelined and will likely remain in the shadows over the month of May amidst the ongoing fallout, especially at a time when finances are in dire need by the domestic ship recycling community to upgrade local yards to HKC standards whilst the government preps for the possibility of war. This could result in Pakistan falling entirely out of recycling game by June, especially if funds become a scarcity and domestic ship recycling yards fail to meet their HKC goals.

Slow Q2

Certainly, a concerning Q2 for Pakistan.

NO MARKET SALES REPORTED

TURKEY

DIRE TIMES!

Regional sales.

A quiet week saw Turkey recede into the background amidst collapsing local steel plate prices over recent weeks that finally settled this week, vessel offerings that have hit a recent new low, and a Lira that refuses to slow its maddening descent against the U.S. Dollar, which saw it collapse another 40 basis points down to TRY 38.57 this week, on its merry way to TRY 40.

As it stands, there has not been much to report from Aliaga as sentiments are clearly in a dismal state, and like the rest of the industry, market tonnage remains amiss for the most part – save for the steady inflow of small LDT tonnage from the region that is keeping the local ship recycling scraping through on the barest of minimums, and sadly, the situation doesn't look like it will get better any time soon for this market. Expect another quiet onset of summer from this market.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 18 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Static**	450 / LDT	470 / LDT	480 / LDT
2	India	**Stable**	445 / LDT	465 / LDT	475 / LDT
3	Pakistan	**Stable**	440 / LDT	460 / LDT	470 / LDT
4	Turkey	**Weak**	250 / LDT	260 / LDT	270 / LDT

WEIRD ONES!!

- *In the 20th century, each day on Earth got longer by between 0.3 and 1.0 millisecond. That rate has been increasing since 2000 and could nearly double by 2100.*
- *The winds of a Category 5 hurricane are faster than the world's fastest roller coaster.*
- *In 1993, scientists dumped nearly 1,000 pounds of iron crystals into the Pacific Ocean to draw carbon dioxide out of the air.*
- *And in 2008, China used cloud seeding to clear the skies over Beijing ahead of the Olympics.*
- *In Goodyear, Arizona, a data center used for generative AI may guzzle as many as 56 million gallons of drinking water each year.*
- *Forty-two percent of MIT students now major in computer science.*
- *Air conditioners' money-saver mode is a lie.*
- *By 2040, as few as 10 countries will have enough snow to host the Winter Olympics.*
- *Dogs may be entering a new wave of domestication.*
- *And the domestication they've already undergone may have led them to bark more.*
- *Elephants and parrots use namelike calls that identify them as individuals. Whales and bats might too.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
No holidays till June	April 26 – May 03 May 11 – May 17 May 24 – June 01

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
May 11 – Buddha Purnima	May 11 – May 14 May 26 – May 29

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
May 01 – 05 – Labor Day May 31 – June 02 – Dragon Boat Holiday	**No holidays till June**	May 19 Youth & Sports Day

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ALANG - Port Position as of May 02, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Starlet (Under Tow)*	*3,609*	*Chemical Tanker*	*Delivered April 30*
2	*Ledent (Under Tow)*	*7,858*	*Drilling Rig*	*Delivered April 30*
3	*Lord 17*	*2,583*	*General Cargo*	*Delivered May 01*
4	Sea Sove	7,918	Bulk Carrier	Arrived April 24
Total Tonnage		**21,968**		

CHATTOGRAM - Port Position as of May 02, 2025

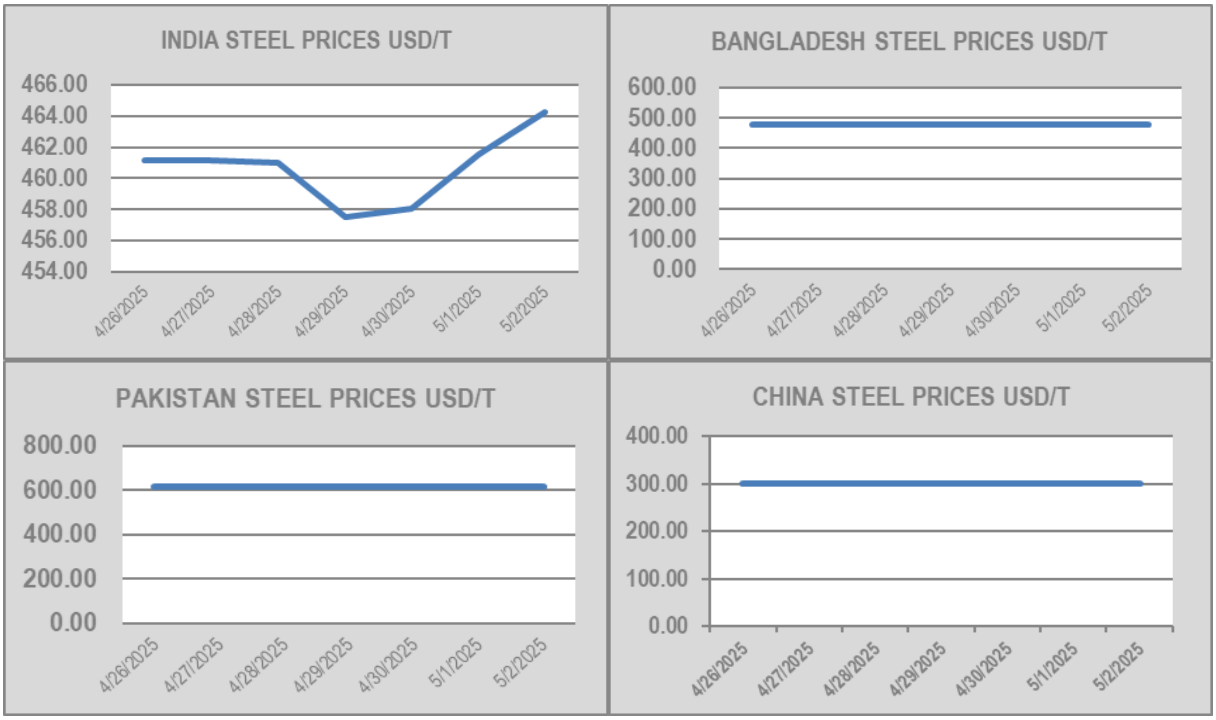
No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Ohryu*	*2,468*	*RoRo*	*Delivered May 01*
		2,468		

GADANI - Port Position as of May 02, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported		
Total Tonnage		**-**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
4/26/2025	461.14	39,400.00	614.78	173,000.00	478.55	58,000.00	300.39
4/27/2025	461.14	39,400.00	614.78	173,000.00	478.55	58,000.00	300.39
4/28/2025	461.01	39,200.00	614.78	173,000.00	478.55	58,000.00	300.39
4/29/2025	457.48	39,000.00	614.78	173,000.00	478.55	58,000.00	300.39
4/30/2025	458.02	39,000.00	614.78	173,000.00	478.55	58,000.00	300.39
5/1/2025	461.54	39,000.00	614.78	173,000.00	478.55	58,000.00	300.39
5/2/2025	464.29	39,000.00	614.78	173,000.00	478.55	58,000.00	300.39



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